

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

JOINT STATUS UPDATE AND MOTION TO EXTEND BRIEFING AND OTHER DEADLINES

Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), and Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, “Respondents”) (collectively, “the Parties”), by their respective undersigned counsel, and, pursuant to 46 C.F.R. Sections 502.69 and 502.102, hereby file this Joint Status Update and Motion to Extend Briefing and Other Deadlines (“Motion”) and in support thereof state that good cause for the requested extension exists, as follows:

A. The Current Schedule

1. On August 23, 2023, the Presiding Officer entered a Revised Scheduling Order (the “Revised Schedule”) with the following deadlines relevant to this Motion:

- October 2, 2023 Substantial completion of non-privileged document production.
- October 30, 2023 Complainant to identify expert witnesses, if any.
- November 6, 2023 Depositions of fact witnesses may begin. Parties file joint status report with proposed briefing schedule.
- November 21, 2023 Report of Complainant’s experts, if any, to be provided to Respondent.
- November 30, 2023 Respondent to identify rebuttal expert witnesses, if any.
- December 11, 2023 Last date to serve supplemental discovery requests.
- December 21, 2023 Respondent to provide Complainant with rebuttal experts’ reports, if any.

- January 2, 2024 Depositions of expert witnesses may begin.
- January 12, 2024 Close of discovery.

B. The Parties' Discovery Efforts and Challenges

2. The Parties remain respectful of the deadlines set forth in the Revised Schedule, and to date have worked diligently to collect, review and produce non-privileged responsive documents.

3. In particular, the Parties have exchanged (i) written discovery requests, including interrogatories, requests for admission, and requests for the production of documents and electronically stored information ("ESI"), as well as objections and responses to such requests (ii) Complainant has served two production sets to date (the first on October 2, 2023 and the second on October 19, 2023), consisting of 154,565 documents; and (iii) Respondents have also served three production sets to date on a weekly rolling basis (the first one on October 25, 2023, the second on November 3, 2023, and the third on November 10, 2023), consisting of 22,639 documents.

4. Respondents have experienced several hurdles that have added time to their document collection and production, none of which were within OOCL's control:

- Because Respondents' servers are centrally located in Hong Kong, it was necessary to obtain Chinese legal advice to ensure that production of documents by collecting and transferring the data to the United States would not: (i) violate China's national data protection/security law or other restrictions on taking evidence in foreign proceedings, or (ii) require compliance with international protocols regarding discovery of documents held in China. Obviously, we could not proceed without prior legal assurance that Respondents, Blank Rome, Jeffrey Fenneman, and the third-party data collection vendor could proceed without legal jeopardy and that production could be made following the usual FMC procedures. We are pleased to say that, although the legal analysis took time to complete, it has been finished and confirms that we are safe to go forward without invoking Chinese law or international discovery protocols, which would have either slowed or stopped document production in this proceeding.

- Respondents attempted to resolve in good faith Complainant's demands for millions of "other shipper" documents. When Complainant declined to accommodate the requests, Respondents were forced to file a motion for a protective order, which Complainant opposed but the Presiding Officer granted, on September 28, 2023. As a practical matter, Respondents could not even start collecting documents until that issue was resolved by the Presiding Officer, as moving forward with collection before then would have been unduly burdensome and unnecessarily expensive. Once the Order was issued, Respondents took immediate steps to begin collecting and processing its data.
- To date, Respondents' vendor has collected over 14 million documents from Respondents' servers. After threading, deduplication, and the application of the date range and search terms agreed in the Protocol Regarding Electronically Stored Information ("ESI Protocol"), the latest estimate of potentially responsive documents is in the range of 200,000 or so documents. After reviewing for privilege, Respondents have produced 22,639 documents to date. Respondents continue to review documents for privilege and responsiveness daily and have agreed to produce responsive documents on a weekly rolling basis.

5. Complainant has acted diligently in its collection and production of documents and agrees that an extension of some length is necessary and appropriate.

- Consistent with the Stipulated Preservation Plan (FMC Docket No. 18) that Complainant negotiated at Respondents' request, Complainant collected and preserved more than 3,400 gigabytes worth of documents and communications from over BBY 25 custodians. Filtering this data, including by the date ranges proposed by the Parties for this case, brought the universe of documents to more than six million documents. Document threading, deduplication, and the application of the search terms negotiated by the Parties and agreed in the Protocol Regarding Electronically Stored Information ("ESI Protocol"), yielded a set of approximately 250,000 documents potentially responsive to Respondents' discovery requests in this case.
- Complainant produced 30,967 documents on October 2, 2023 and made a supplemental production of 123,598 additional documents on October 19, 2023. As of this date, there remain only two sets of Complainant's documents to be addressed. First are documents containing the names of certain competitors of Complainant, which were proposed by Respondents and objected to by Complainant. After review of several thousand such documents by Complainant's counsel yielded virtually nothing even remotely relevant to the issues, claims, or defenses in this case, the parties met and conferred again on this issue, and Complainant currently is

awaiting an explanation from Respondents of what possible relevance such documents could have, as well as revised, narrowed search terms to limit the volume of additional irrelevant documents that Complainant's counsel might have to review in this connection. Second, Complainant is evaluating the documents identified as potentially attorney-client privileged or attorney work product to determine if any are appropriate for production.

- On November 6, 2023, Complainant shared with Respondents additional and modified search terms they believe are consistent with the rulings in the Presiding Officer's September 28, 2023 Order on the Respondents' Motion for a Protective Order. The Parties will schedule a meet and confer to discuss these additional and modified terms.

C. Good Cause Exists to Extend the Current Deadlines

6. As set forth in the Parties' August 4, 2023, joint motion to extend briefing and other deadlines, this case is subject to particular difficulties, including: (i) this proceeding involves a significant claim for reparations – over \$30 million including interest -- so accordingly requires and deserves discovery commensurate with the demand. The Parties have exchanged extensive requests for production of documents (as well as other discovery requests), and it has become clear to the Parties that such discovery cannot reasonably be accomplished within the Revised Schedule; (ii) the need to include Complainant's bankruptcy counsel in making decision, and other challenges presented by Complainant's still-pending bankruptcy proceeding; (iii) challenges relating to depositions of Respondents' foreign personnel, and with respect to potential difficulties deposing former employees of Complainant, who will need to be personally served with subpoenas and perhaps requiring enforcement of such subpoenas, and (iv) service of written discovery and the taking of deposition of third-parties based overseas.

7. Moreover, Respondents have procured from the Presiding Officer subpoenas for the depositions of eight former employees of Complainant, which have not yet been served due to complications in serving former employees, and have issued notices of deposition for six additional employees. Due to developments in Complainant's bankruptcy, however, it likely will

be necessary to procure subpoenas for these now-former employees, as well. Complainant's counsel – who will be representing at least four of the non-party former employees for whom notices of deposition were previously issued, and who may be representing some or all of the eight former employees for whom Respondents previously procured subpoenas – will need to be served with subpoenas, afforded opportunities to respond to the subpoenas, and schedule any depositions at mutually convenient times and locations (or via mutually agreed means).

8. Given the scope of the Complaint, and the challenges posed by the likely large number of third-party discovery and depositions, the Parties believe it would be most effective and efficient to conduct fact depositions on the basis of a substantially complete documentary record, and not to be forced to take deposition testimony without the benefit of first having received and reviewed relevant documents and ESI for potential use in such depositions.

9. Although Complainant has complied with the Revised Schedule's deadline to identify Complainant's potential expert witnesses already known to Complainant at this time, since document production is not yet complete, it remains unclear to what extent and for what specific purposes expert evidence may be necessary, and Complainant therefore is not yet in a position to identify all potential expert witnesses. Respondents' determination of an appropriate expert witness(es) necessarily depends upon Complainant's identification of its expert witness(es) and their reports. Complainant specifically notes that the present deadline to submit its expert report is November 21, 2023, a deadline rendered impossible to meet by the current state of discovery, and which would be highly prejudicial to Complainant in this action if permitted to remain, as Complainant would be forced to produce an expert report without having first received, and had the opportunity to review, a substantial portion of Respondents' documents and data.

10. The current Revised Schedule would preclude the Parties from taking meaningful discovery in the context of this proceeding, so they would not be able to present their claims and defenses adequately in their respective briefs. Given that the Parties are still working diligently to complete the review and production of documents, send and collect third-party discovery, and prepare for what will likely be at least two dozen fact depositions, the Parties respectfully and jointly request a 180-day extension of the current discovery deadlines in this action.

11. The Parties believe such an extension would allow for discovery to be completed by July 10, 2024, resulting in the following new discovery deadlines:

- February 15, 2024: Substantial completion of non-privileged document production.
- April 15, 2024: Depositions of fact witnesses may begin. Parties file joint status report with proposed briefing schedule.
- April 29, 2024: Complainant to identify expert witnesses, if any.
- May 20, 2024: Report of Complainant's experts, if any, to be provided to Respondent.
- June 4, 2024: Respondent to identify rebuttal expert witnesses, if any.
- June 8, 2024: Last date to serve supplemental discovery requests.
- June 18, 2024: Respondent to provide Complainant with rebuttal experts' reports, if any.
- July 1, 2024: Depositions of expert witnesses may begin.
- July 10, 2024: Close of discovery.

12. In making this joint Motion, the Parties here have limited their requests to the smallest amount of time in which they believe they can feasibly conduct discovery in this large, complex litigation (with the added complexity of the related bankruptcy proceeding, difficulties locating and serving former Complainant employees, and the continuing rolling document productions and need to digest voluminous materials and data) with the understanding that they will also continue to work to stipulate to facts, limit depositions, and expeditiously resolve discovery disputes and produce documents promptly and to the extent possible.

13. The Parties are cognizant that April 29, 2024 is the current deadline for the Presiding Officer to issue her Initial Decision to the Commission, and that this extension will

regrettably require an extension to that deadline. The Parties nevertheless agree that such a request is fully justified in light of the size and scope of the information to be considered at this phase of the proceeding and adequate time for such consideration by the Presiding Officer will be accordingly granted by the Commission.

14. The Parties will endeavor to prevent any further requests for additional time, but limited extensions may become necessary if, for example, issues related to the collection and production of documents located abroad or in the custody of non-parties, or to the need for testimony from non-parties (including Complainant's former employees) or individuals located abroad (including employees of Respondent). The Parties will work to limit such extension requests, including by working to facilitate consent for email service of subpoenas and provision of contact information, where available, but in the interest of full transparency, the parties wish to note such possible issues for the Presiding Officer now.

15. The Parties propose to submit interim status reports to the Presiding Officer on the first business day of every second month (to begin on the date the Presiding Officer issues her Order on this matter) until the close of discovery that will provide a status update on the Parties' progress.

16. Further, with respect to the submission of (i) Complainant's initial brief, proposed findings of fact, and appendix; (ii) Respondent's opposition brief, responses to proposed findings of fact, proposed findings of fact, and appendix; and (iii) Complainant's reply brief and responses to proposed findings of fact, the Parties respectfully request an opportunity to propose a revised briefing schedule shortly before the close of fact discovery.

17. Rule 102(a) of the Federal Maritime Commission's Rules of Practice and Procedure, 46 C.F.R. Section 502.102(a), provides in relevant part: "Motions for enlargement or

reduction of time for the filing of any pleading or other document, or in connection with the procedures of subpart L of this part, may be granted upon a showing of good cause.”

18. The Parties have already produced hundreds of thousands of pages of documents, and will likely collectively produce nearly 1,000,000 pages of documents in this proceeding, which is a significantly higher volume of documents than the 20,000 pages cited by the parties in *One Banana North America Corp. v Hapag-Lloyd AG et al.*, FMC Dkt. No. 22-03, in which the Presiding Officer granted an approximate 75-day extension from the originally ordered production and deposition deadlines. Pursuant to 46 CFR § 502.71(a), counsel for Complainant and counsel for Respondents have discussed this Motion with each other in a good faith effort to determine whether there is any opposition to the relief sought and, if there is opposition, to narrow the areas of disagreement, on October 25, 2023 and November 9, 2023 by videoconference and via additional correspondence. The Parties each agree to the relief requested in this Motion at the Presiding Officer’s discretion.

WHEREFORE, Complainant Bed Bath & Beyond Inc. and Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited, pray that their Joint Motion to Extend Briefing and Other Deadlines be granted.

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HUTH REYNOLDS LLP

/s/ Matthew J. Reynolds (with permission)

Karl C. Huth
(212) 731-9333
huth@huthreynolds.com
Matthew J. Reynolds
(646) 872-9353
reynolds@huthreynolds.com
Gregory A. Crapanzano II
(917) 575-3440
gcrapanzano@huthreynolds.com
41 Cannon Court
Huntington, NY 11743

*Counsel for Complainant 20230930-DK-
Butterfly-1, Inc., formerly known as Bed Bath
& Beyond Inc.*

Respectfully submitted,

BLANK ROME LLP

/s/ Matthew J. Thomas

Matthew J. Thomas
1825 Eye Street N.W.
Washington, DC 20006
(202) 772-5971
Matthew.Thomas@BlankRome.com

Keith B. Letourneau
BLANK ROME LLP
717 Texas Avenue, Suite 1400
Houston, Texas 77002
(713) 402-7640
Keith.Letourneau@BlankRome.com

Lauren B. Wilgus
BLANK ROME LLP
1271 Avenue of the Americas
New York, NY 10020
(212) 885-5348
Lauren.Wilgus@BlankRome.com

/s/ Rebecca A. Fenneman (with permission)

JEFFREY/FENNEMAN LAW +
STRATEGY, PLLC

Rebecca A. Fenneman
Eric C. Jeffrey
Jeffrey/Fenneman Law + Strategy, PLLC
(202) 904-2301
700 12th Street, NW Suite 700
Washington, DC 20005
RFenneman@JeffreyFenneman.com
EJeffrey@JeffreyFenneman.com

*Counsel for Respondents Orient Overseas
Container Line Limited and OOCL (Europe)
Limited*